

Chapter 8

Dhandho 201: Invest in Distressed Businesses in Distressed Industries

Efficient market theorists (EMTs) tell us that all known information about a given publicly traded business is reflected in its stock price. Thus, they proclaim that there isn't much to be gained by being a securities analyst and trying to figure out the intrinsic value of a given business. And with frictional costs thrown in, the EMTs believe stock picking is not just a zero-sum game, but rather a negative-sum game. Here are Mr. Buffett's replies to them:

I'd be a bum on the street with a tin cup if the markets were always efficient.^{[1](#)}

Investing in a market where people believe in efficiency is like playing bridge with someone who has been told it doesn't do any good to look at the cards.^{[2](#)}

It has been helpful to me to have tens of thousands [of students] turned out of business schools taught that it didn't do any good to think.^{[3](#)}

Current finance classes can help you do average.^{[4](#)}

—Warren Buffett

Mr. Buffett has been cherry-picking stocks for 56 years and, from a standing start, has a fortune valued at over \$40 billion today. Nonetheless, I